

**Calendar Line 1****Case Name:** Weichiao Ku et al. v. Harald Herchen**Case No.:** 21CV376210**JUDGMENT CREDITORS WEICHIAO KU'S AND PI-LIEN KUO'S MOTION TO COMPEL RESPONSES TO POST-JUDGMENT REQUEST FOR PRODUCTION OF****I. PROCEDURAL AND FACTUAL BACKGROUND**

On July 18, 2025, the jury reached a unanimous verdict against Judgment Debtor for \$11,300,000.00 on behalf of Weichiao Ku and \$12,300,000.00 on behalf of Pi-Lien Kuo. Judgment on the jury verdict was entered in those amounts on July 21, 2025. The parties do not dispute the validity or enforceability of the judgment.

On December 3, 2025, Judgment Creditors served their first set of post-judgment requests for production of documents. The requests were propounded under Code of Civil Procedure sections 680.010 et seq., 708.020, 708.030, and 2030.210 et seq., seeking documents to aid in enforcement of the judgment against Judgment Debtor. Service was made by both U.S. mail and electronic mail pursuant to Code of Civil Procedure section 1010.6(e) and California Rules of Court, rule 2.251(c)(3).

On December 29, 2025, counsel for Judgment Debtor wrote to Judgment Creditors' counsel to request a two-week extension to respond to the RFPD, such that a new response deadline of January 20, 2026, would be established. That same day, Judgment Creditors' counsel granted the request.

On January 15, 2026, Judgment Debtor's counsel sought a further extension of time to respond. Also on January 15, 2026, after a phone call on the issue, Judgment Creditors' counsel granted a further extension of time to respond to the RFPD to January 26, 2026.

Despite the multiple extensions, Judgment Debtor served no responses to the RFPD and produced no documents. No responses were served by January 26, 2026, no request for a further extension was made after that date, and no application was made to the court for additional time.

After a final demand on February 4, 2026, setting a deadline of February 6, 2026, at noon for compliance, and no responses having been served, this motion was filed on February 6, 2026.

On May 15, 2026, Judgment Debtor served responses to the Requests for Production and Special Interrogatories. The responses begin with General Objections that are expressly incorporated into every answer that follows, including objections based on attorney-client privilege, work product, privacy, vagueness, and relevance.

Following service of the May 15, 2026, responses, the parties engaged in further meet-and-confer efforts addressing specific deficiencies. The May 19, 2026, correspondence identified redacted bank records — with nearly all account numbers and most financial transaction

entries redacted throughout the produced statements — and Judgment Debtor's objection to RFPD 4 seeking tax returns on privilege grounds.

On May 20, 2026, Mr. Paetkau responded that his client would not withdraw any of the asserted objections and would file a noticed motion for relief from waiver. To date, no such motion has been served.

## II. LEGAL STANDARD

### A. Court Authority Over Post-Judgment Discovery

Section 708.030, subdivision (a), authorizes the judgment creditor to demand that the judgment debtor produce documents in the possession, custody, or control of the party on whom the demand is made in the manner provided in Chapter 14 (commencing with Section 2031.010) of Title 4 of Part 4, if the demand requests information to aid in enforcement of the money judgment. § 708.030(a). The statute further provides that the judgment debtor shall respond and comply with the demand in the manner and within the time provided by Chapter 14. *Id.* Inspection demands served under this section may be enforced to the extent practicable, in the same manner as inspection demands in a civil action. *Id.* § 708.030(c).

The Civil Discovery Act applies to postjudgment enforcement proceedings only to the extent provided in sections 708.010 through 708.030 of the Enforcement of Judgments Law. *Shrewsbury Mgmt., Inc. v. Superior Court*, No. H043166 (Cal. Ct. App. Mar. 11, 2019). The available direct written discovery methods against a judgment debtor include "written interrogatories on the judgment debtor and to demand the production of documents from the judgment debtor". *Id.*

The scope of post-judgment document discovery is intentionally broad. The Fourth District has identified only two textual constraints on section 708.030 requests: the document requested must be "in the possession, custody, or control of the party on whom the demand is made" and must have "information to aid in enforcement of the money judgment". *SCC Acquisitions v. Superior Court*, 243 Cal. App. 4th 741 (2015).

Section 2031.260 requires that "Within 30 days after service of a demand for inspection, copying, testing, or sampling, the party to whom the demand is directed shall serve the original of the response to it on the party making the demand". Cal. Civ. Proc. Code § 2031.260.

If the judgment debtor fails to serve a timely response to an inspection demand, "The party to whom the demand for inspection, copying, testing, or sampling is directed waives any objection to the demand, including one based on privilege or on the protection for work product". Cal. Civ. Proc. Code § 2031.300(a).

"The party making the demand may move for an order compelling response to the demand". § 2031.300(a). In *Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants*, the court held that section 2030.290 does not preclude the trial court from granting a motion to compel responses under subdivision (b), even if the responding party serves untimely interrogatory responses after the propounding party has served the motion. *Sinaiko Healthcare Consulting, Inc. v. Pac. Healthcare Consultants*, 148 Cal. App. 4th 390, 407 (2007).

Sinaiko explained that unlike a motion to compel further responses, a motion to compel initial responses is not subject to a 45-day time limit, and the propounding party need not demonstrate either good cause or compliance with a meet-and-confer requirement. *Sinaiko Healthcare Consulting, Inc. v. Pac. Healthcare Consultants*, 148 Cal. App. 4th 390, 404 (2007).

The court may relieve a party from the waiver of objections only upon a showing that: (1) "The party has subsequently served a response that is in substantial compliance with Sections 2031.210, 2031.220, 2031.230, 2031.240, and 2031.280"; and (2) "The party's failure to serve a timely response was the result of mistake, inadvertence, or excusable neglect". § 2031.300(a).

When a motion to compel initial responses is granted (or unsuccessfully opposed), the court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response to a demand for inspection, copying, testing, or sampling, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. § 2031.300(c).

## ANALYSIS

The following facts are not in dispute:

1. A valid, enforceable money judgment exists in the total amount of \$23,600,000.00;
2. The post-judgment requests for production were properly served on December 3, 2025;
3. Judgment Creditors granted two extensions, with a final deadline of January 26, 2026;
4. No responses were served by January 26, 2026;
5. The motion was filed on February 6, 2026;
6. Responses were served on May 15, 2026;
7. The May 15, 2026, responses contain objections, including privilege objections;
8. Judgment Debtor was incarcerated from September 11, 2025, to January 20, 2026;
9. Law enforcement seized Judgment Debtor's electronic devices and financial records in September 2025;
10. Attorney Vinod Nichani withdrew as counsel on January 23, 2026, while attorneys Charles J. Smith and Tyler M. Paetkau remained as counsel of record.

### B. Scope of the Requests

The 41 requests at issue seek financial information directly relevant to enforcing a \$23.6 million judgment and fall within the broad scope of section 708.030. *SCC Acquisitions v. Superior Court*, 243 Cal. App. 4th 741 (2015). No party disputes that the requests fall within the statutory scope for post-judgment discovery.

### C. Whether Excusable Neglect Justifies Relief from Waiver

This is the central dispute. The court must determine whether the combination of incarceration, record seizure, and partial counsel withdrawal constitutes excusable neglect sufficient to relieve Judgment Debtor from the statutory waiver of objections.

The court begins with the undisputed fact that waiver occurred by operation of law on January 26, 2026. The waiver is self-executing and includes all objections, including those based on privilege. § 2031.300(a). Because no response was served by the deadline, no privileges were timely asserted; the waiver issue is dispositive as to the objections asserted for the first time on May 15, 2026. Relief from waiver requires a showing that the failure to serve a timely response was the result of mistake, inadvertence, or excusable neglect. *Id.*

**Incarceration:** The court acknowledges that Judgment Debtor's incarceration from September 11, 2025, to January 20, 2026, presented genuine obstacles to responding to discovery. Limited access to counsel and inability to gather documents while in custody are legitimate impediments. However, Judgment Creditors specifically accommodated this circumstance by granting two extensions. The first extension moved the deadline to January 20, 2026 — the date of Judgment Debtor's release. When Judgment Debtor's counsel requested a second extension on January 15, 2026, Judgment Creditors granted a further extension to January 26, 2026, providing an additional six days after release.

The critical fact is that Judgment Debtor was released on January 20, 2026, six days before the final extended deadline. No explanation has been provided for why no response — even a preliminary response asserting objections — was served during those six days, or why no request for a third extension was made. The incarceration circumstance explains the initial delays but does not explain the complete failure to respond after release.

**Seizure of Records:** The court similarly acknowledges that the seizure of electronic devices and financial records in September 2025 created difficulties in gathering responsive documents. However, this seizure occurred months before the discovery requests were served on December 3, 2025. It was a known constraint when counsel requested the first extension in late December, and when counsel requested the second extension in mid-January. The seizure does not explain why no response whatsoever was served by the January 26 deadline. Code-compliant responses could include statements that documents are not in the responding party's possession or control due to seizure by law enforcement. The seizure may explain inability to produce certain documents, but it does not explain the complete absence of any response.

**Change of Counsel:** The withdrawal of one of three counsel on January 23, 2026, three days before the deadline, does not constitute excusable neglect. Two attorneys remained as counsel of record throughout the relevant period: Charles J. Smith, who tried the case in July 2025, and Tyler M. Paetkau, who has served as post-judgment counsel and who was copied on the extension correspondence. This was not a situation where entirely new counsel had to be retained and brought up to speed. Rather, it was a reduction in the size of the defense team.

Even considering these three circumstances in combination, the court finds that excusable neglect has not been established. The extensions granted by Judgment Creditors specifically accommodated the incarceration and provided time after release. Judgment Debtor offers no explanation for the period from January 20, 2026 (release) through January 26, 2026 (deadline), during which two counsel remained of record.

The statute contemplates relief from waiver on motion. Code Civ. Proc. § 2031.300(a). Here, Judgment Debtor has not filed a separate noticed motion for relief from waiver. Instead, Judgment Debtor seeks relief in the context of opposing this motion to compel.

On May 20, 2026, counsel wrote that Judgment Debtor would file a noticed motion for relief from waiver. The opposition, filed September 4, 2026, still only offers that Judgment Debtor is prepared to file a noticed motion at the court's preference. This conditional promise does not satisfy the statutory requirement. Months after promising to file such a motion, none has been filed.

While the court has discretion to consider relief from waiver in response to an opposition, the burden is on the party seeking relief to make the required showing with supporting evidence. Here, the opposition presents argument but limited evidence regarding what specific efforts were made to respond during the critical periods. The declaration supporting the opposition does not explain these gaps.

The court declines to grant relief from waiver on this opposition where no formal motion has been filed, where the required showing has not been made, and where Judgment Debtor has repeatedly promised but failed to file a proper motion.

Even if the court were inclined to find excusable neglect (which it does not), relief from waiver requires that Judgment Debtor have subsequently served a response that is in substantial compliance with the statutory requirements. § 2031.300(a). The meet-and-confer correspondence following service of the May 15, 2026, responses identifies significant deficiencies: redacted account numbers and transaction information in bank records, refusal to produce tax returns, and incomplete production. These issues suggest the responses may not be in substantial compliance, but this question need not be resolved because the court finds no excusable neglect.

## **PROTECTIVE ORDER**

The court notes that post-judgment financial discovery implicates significant privacy interests. In *Valley Bank of Nevada v. Superior Court*, the California Supreme Court held that "the right of privacy extends to one's confidential financial affairs as well as to the details of one's personal life". *Valley Bank of Nevada v. Superior Court*, 125 Cal. Rptr. 553, 557 (Cal. 1975). In *Moskowitz v. Superior Court*, the court held that "Personal financial information comes within the zone of privacy protected by article I, section 1 of the California Constitution". *Moskowitz v. Superior Court*, 137 Cal. App. 3d 313, 315 (1982).

However, waiver of objections does not leave a party without any protection. The court expects that Judgment Creditors, in receiving and using the discovery responses and documents produced, will treat the information as confidential and limit its dissemination to counsel, parties, and persons reasonably necessary to the judgment enforcement proceedings. If disputes arise regarding the use or dissemination of information produced in response to this order, either party may seek a protective order through a properly noticed motion.

## **DISPOSITION**

The motion to compel responses to Post-Judgment Request for Production of Documents, Set One, is GRANTED.

Judgment Debtor Harald Herchen shall serve amended verified responses to Post-Judgment Request for Production of Documents, Set One, without objections, within 20 days of the date of this order.

The amended responses shall be in full compliance with Code of Civil Procedure sections 2031.210, 2031.220, 2031.230, 2031.240, and 2031.280. The responses shall be verified as required by section 2031.250.

## **MONETARY SANCTIONS**

### **A. Legal Standard**

Section 2031.300(c) provides that when a motion to compel initial responses is granted, the court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response to a demand for inspection, copying, testing, or sampling, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. § 2031.300(c). The statute makes sanctions mandatory unless substantial justification or unjust circumstances are shown.

### **B. Substantial Justification**

Substantial justification means that the party's position was justified to a degree that could satisfy a reasonable person and requires a showing of good faith. The court has already determined that Judgment Debtor's reasons for failing to respond timely do not constitute excusable neglect. The question now is whether those same circumstances constitute substantial justification for opposing this motion.

The court finds that substantial justification has not been established. While Judgment Debtor faced genuine obstacles (incarceration, record seizure, partial counsel withdrawal), these circumstances were known and were accommodated through the extensions granted by Judgment Creditors. The critical failures — no response during the six days after release, no request for a third extension, no court application for relief — are not substantially justified.

Most significantly, even after serving responses on May 15, 2026, Judgment Debtor has opposed this motion rather than seeking proper relief from waiver through a noticed motion. Counsel promised on May 20, 2026, to file a motion for relief from waiver but has not done so. This approach has required Judgment Creditors to proceed with this motion and has necessitated briefing and a hearing that could have been avoided through timely compliance.

Judgment Debtor argues that sanctions would be unjust because: (1) Judgment Creditors gave only two days' notice before filing the motion; (2) no prejudice resulted from the delay; and (3) the circumstances were beyond Judgment Debtor's control.

The court is not persuaded. First, the two-days argument omits that by February 4, 2026, the deadline had already passed by nine days and Judgment Debtor had been released for 15 days. Second, prejudice is not required for sanctions under section 2031.300(c) — the statute

mandates sanctions absent substantial justification or unjust circumstances. Third, as discussed above, the circumstances do not excuse the complete failure to respond.

However, the court does find that the unusual combination of circumstances — particularly the incarceration during most of the response period — warrants some reduction in the sanctions amount as a matter of equity.

#### D. Amount of Sanctions

Judgment Creditors request sanctions of \$2,300.00 based on four hours of attorney time at \$575 per hour. The court finds that the hourly rate of \$575 is reasonable for an attorney admitted to practice in California in 2007 with a primarily civil and commercial litigation practice in the Silicon Valley area.

Counsel states that he spent in excess of four hours meeting and conferring with Judgment Debtor's counsel and drafting the moving papers, and anticipated spending an additional five hours reviewing the opposition, preparing a reply, and appearing at the hearing. The reply declaration confirms that counsel spent more than five additional hours reviewing the opposition, the Paetkau declaration and its exhibits, and preparing the reply — for a total exceeding nine hours. Judgment Creditors nevertheless continue to request only the initially noticed sum of \$2,300.

The court appreciates Judgment Creditors' restraint in limiting the request to the noticed amount despite incurring additional time. The court will reduce the sanctions to three hours rather than four hours, in recognition of the unusual circumstances surrounding this motion. Three hours at \$575 per hour equals \$1,725.00.

Judgement Creditor to prepare final proposed order, accompanied by necessary EFS-020 Form, within 7 days of the hearing.

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**Calendar Line 2****Case Name:** *Weichiao Ku et al. v. Harald Herchen***Case No.:** 21CV376210**JUDGMENT CREDITORS' MOTION TO COMPEL RESPONSES TO POST-JUDGMENT SPECIAL INTERROGATORIES, SET ONE, AND FOR MONETARY SANCTIONS****BACKGROUND**

See Calendar Line 1 for factual and procedural background

**LEGAL STANDARD**

Section 708.020(a) authorizes a judgment creditor to propound written interrogatories to a judgment debtor to aid in enforcement of the money judgment. Cal. Civ. Proc. Code § 708.010(a). Post-judgment interrogatories are enforced in the same manner as interrogatories in a civil action. Cal. Civ. Proc. Code § 708.030(c). Responses are due within 30 days of service. Cal. Civ. Proc. Code § 2030.260.

Failure to serve a timely response waives "any right to exercise the option to produce writings under Section 2030.230, as well as any objection to the interrogatories, including one based on privilege or on the protection for work product." Cal. Civ. Proc. Code § 2030.290(a). Late service of untimely responses does not moot a motion to compel initial responses; the court retains authority to grant the motion and compel objection-free responses. Relief from waiver is available only on motion, and requires a showing that a subsequent response is in substantial compliance with sections 2030.210, 2030.220, 2030.230, and 2030.240, and that the failure to respond timely was the result of mistake, inadvertence, or excusable neglect. § 2030.290(a).

The court shall impose monetary sanctions against a party who unsuccessfully opposes a motion to compel a response, unless the party acted with substantial justification or other circumstances make sanctions unjust. § 2030.290(c); Cal. Civ. Proc. Code § 2023.030(a).

**ANALYSIS**

A. Waiver. Waiver of objections occurred by operation of law on January 26, 2026, when no response was served. § 2030.290(a). The general and specific objections asserted in the May 15, 2026 responses had been extinguished nearly four months earlier.

B. Relief from waiver. Judgment Debtor has not filed a noticed motion for relief from waiver, despite his May 20, 2026 representation that one would be filed and a repeated conditional promise in the opposition to file such a motion at the court's preference. Relief from waiver is available only on motion; a request embedded in an opposition does not satisfy the statute. § 2030.290(a).

Even considered on the merits, excusable neglect is not established. The incarceration and records seizure were known circumstances, expressly accommodated by two extensions

negotiated with knowledge of both. Judgment Debtor was released January 20, 2026, six days before the extended deadline, and offers no explanation for the failure to serve any response — even a partial response or objections alone — during that window or in the 109 days that followed. The withdrawal of one of three attorneys three days before the deadline does not constitute excusable neglect: Mr. Smith and Mr. Paetkau were already counsel of record, were served with the interrogatories on December 3, 2025, and Mr. Paetkau was copied on the extension correspondence. Where the responding party could not fully answer because of the records seizure, section 2030.220 provided a mechanism for a partial or good-faith response; complete silence is not excused by unavailability of some documents.

Substantial compliance likewise raises substantial doubt: eight general objections incorporated into every answer are difficult to reconcile with section 2030.240's requirement of specific, separately stated objections. The court does not resolve that prong because excusable neglect has not been shown.

C. No mootness; debtor examinations do not substitute. Late service does not moot the motion, and appearances at debtor examinations on May 29 and September 2, 2026 do not substitute for verified written interrogatory responses that were due in January.

### **DISPOSITION**

Motion to Compel Responses to Special Interrogatories are GRANTED.

### **SANCTIONS**

Sanctions are mandatory absent substantial justification or unjust circumstances. § 2030.290(c). For the reasons stated above, substantial justification has not been shown, and the record does not present unjust circumstances: Judgment Debtor was represented by multiple counsel throughout the relevant period, the incarceration was accommodated by extensions, and after release no emergency prevented service of responses, a further request for extension, or an application to the court.

The rate of \$575 per hour is reasonable for Silicon Valley litigation counsel handling a \$23.6 million enforcement action; the seven hours requested is reasonable in light of the meet-and-confer history and Judgment Creditors' voluntary limitation of the request despite additional time expended on reply and hearing preparation. Applying an equitable reduction the court awards five hours at \$575, totaling \$2,875.00.

Judgement Creditor to prepare final proposed order, accompanied by necessary EFS-020 Form, within 7 days of the hearing.

## **Calendar Line 5**

**Case Name:** *Teresa Pruss v. Oak Grove School District*

**Case No.:** 25-CV-462692

Motion for Summary Judgment, or in the Alternative, Summary Adjudication to the Complaint of Defendant Oak Grove School District

### **Factual and Procedural Background**

This is an employment action for discrimination and related claims brought by plaintiff Teresa Pruss (“Plaintiff” or “Ms. Pruss”) against defendant Oak Grove School District (“District”).

Plaintiff was born on February 17, 1960.<sup>1</sup> (District’s Corrected Separate Statement of Undisputed Facts [“CSSUF”] at Issue #1, Fact No. 1.) Plaintiff began her employment with the District in the Fall of 2022 as a school psychologist. (Id. at No. 2.) At the District, school psychologists work in the context of a team that includes teachers, parents, students, school nurses, counselors, principals, and representatives of outside agencies. (Id. at No. 3.)

Program Coordinator Megan Duffy (“Ms. Duffy”) was Plaintiff’s direct supervisor at the District. (District’s CSSUF at Issue #1, Fact No. 5.) On February 16, 2024, Plaintiff had a remote meeting with Ms. Duffy wherein she informed Plaintiff that the District was not bringing her back for the next academic year, and thus Plaintiff had the option of resigning. (Id. at No. 8.) The District contends Plaintiff tendered her resignation in writing on March 16, 2024. (Id. at No. 13.) But, in her complaint, Plaintiff alleges the District discriminated against her on the basis of her age and terminated her employment. (Complaint at ¶¶ 9, 15.)

Plaintiff filed a charge with the California Civil Rights Department and received a Notice of Right to Sue on January 3, 2025 thus exhausting all necessary administrative remedies. (Complaint at ¶ 16.)

On April 3, 2025, Plaintiff filed the operative complaint against the District alleging causes of action for: (1) Discrimination in Violation of FEHA<sup>2</sup>; (2) Failure to Prevent Discrimination in Violation of FEHA; (3) Retaliation in Violation of FEHA; (4) Failure to Prevent Retaliation in Violation of FEHA; and (5) Failure to Engage in a Timely Good Faith Interactive Process in Violation of FEHA.

On May 21, 2025, the District filed its answer to the complaint setting forth a general denial and affirmative defenses.

On June 26, 2026, the District filed the motion presently before the court, a motion for summary judgment, or in the alternative, summary adjudication to the complaint. Plaintiff filed written opposition. The District filed reply papers. Both sides submitted evidentiary objections.

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<sup>1</sup> On August 5, 2026, the District filed a notice of errata and a corrected separate statement to the motion for summary judgment, or in the alternative, summary adjudication. The corrected statement is intended to fix a numbering error and does not alter the arguments, material facts, or supporting evidence contained in the initial separate statement.

<sup>2</sup> FEHA refers to the California Fair Employment and Housing Act.

On July 10, 2026, Plaintiff dismissed the third, fourth, and fifth causes of action from this case without prejudice.

Trial is scheduled for October 19, 2026.

### **Motion for Summary Judgment, or in the Alternative, Summary Adjudication**

The District argues there is no triable issue of material fact as to the claims in the complaint and thus judgment should be entered as a matter of law. In the alternative, the District moves for summary adjudication of the first and second causes of action, the only viable claims remaining in this case.

### **The District's Evidentiary Objections**

"In determining if the papers show that there is no triable issue as to any material fact, the court shall consider all of the evidence set forth in the papers, except the evidence to which objections have been made and sustained by the court..." (Code Civ. Proc., § 437c, subd. (c).)

"In granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review." (Code Civ. Proc., § 437c, subd. (q).)

In reply, the District filed objections to evidence submitted with the opposition papers. The court SUSTAINS Objection No. 1 on ground of lack of personal knowledge. The court OVERRULES Objection No. 2 in its entirety. The court declines to rule on the remaining objections as they are not material to the outcome of the motion for reasons articulated below.

### **Plaintiff's Evidentiary Objections**

Plaintiff filed an objection to the declaration of Amy Boles submitted with the District's reply papers. The court however declines to consider the declaration as it constitutes new evidence submitted for the first time with the reply papers. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537 [the general rule of motion practice is that new evidence is not permitted with reply papers]; see also *Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252 [improper to introduce new evidence in reply].) Having done so, the court also declines to rule on Plaintiff's evidentiary objections to the declaration.

### **Legal Standard**

Any party may move for summary judgment. (Code Civ. Proc., § 437c, subd. (a); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843 (*Aguilar*).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c).) "The object of the summary judgment procedure is 'to cut through the parties' pleadings' to determine whether trial is necessary to resolve their dispute.

[Citation.]” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal.App.4th 1004, 1020 (*Spinks*).)

“[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact...” (*Aguilar, supra*, 25 Cal.4th at p. 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at p. 851.)

A defendant moving for summary judgment may satisfy its initial burden either by producing evidence of a complete defense or by showing the plaintiff’s inability to establish a required element of the case. (*Spinks, supra*, 171 Cal.App.4th at p. 1021.)

If a moving defendant makes the necessary initial showing, the burden of production shifts to the plaintiff to make a prima facie showing of the existence of a triable issue of material fact. (Code Civ. Proc., § 437c, subd. (p)(2); see *Aguilar, supra*, 25 Cal.4th at p. 850.)

A triable issue of material fact exists “if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Aguilar, supra*, 25 Cal.4th at p. 850, fn. omitted.) If the plaintiff opposing summary judgment presents evidence demonstrating the existence of a disputed material fact, the motion must be denied. (*Id.* at p. 856.)

Throughout the process, the trial court “must consider all of the evidence and all of the inferences drawn therefrom.” (*Aguilar, supra*, 25 Cal.4th at p. 856.) The moving party’s evidence is strictly construed, while the opponent’s is liberally construed. (*Id.* at p. 843.)

Similarly, “[a] party may seek summary adjudication on whether a cause of action, affirmative defense, or punitive damages claim has merit or whether a defendant owed a duty to a plaintiff. [Citation.] ‘A motion for summary adjudication...shall proceed in all procedural respects as a motion for summary judgment.’ [Citation.]” (*California Bank & Trust v. Lawlor* (2013) 222 Cal.App.4th 625, 630.)

“[S]ummary judgment (or summary adjudication) is a drastic remedy and should be used with caution. [Citation.] Because summary judgment is a drastic procedure all doubts as to the propriety of granting a motion for summary judgment should be resolved in favor of the party opposing the motion. [Citations.]” (*Tully v. World Savings & Loan Assn.* (1997) 56 Cal.App.4th 654, 660; see *Kernan v. Regents of University of California* (2022) 83 Cal.App.5th 675, 684 [“The drastic remedy of summary judgment may not be granted unless reasonable minds can draw only one conclusion from the evidence.”].)

### **First Cause of Action: Discrimination in Violation of FEHA**

The first cause of action appears to be a claim for age discrimination.

“The specific elements of a prima facie case may vary depending on the particular facts.” (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 355 (*Guz*).) Generally, the plaintiff must provide evidence that (1) he or she was a member of a protected class, (2) he or she was qualified for the position he or she sought or was performing competently in the position he or

she held, (3) he or she suffered an adverse employment action, such as termination, demotion, or denial of an available job and (4) some other circumstance suggests discriminatory motive. (*Ibid.*)

In particular, the elements of a cause of action for age discrimination are: (1) at the time of the adverse action the employee was 40 years of age or older; (2) an adverse employment action was taken against the employee; (3) at the time of the adverse action the employee was satisfactorily performing his or her job; and (4) the employee was replaced by a significantly younger person. (*Hersant v. Department of Social Services* (1997) 57 Cal.App.4th 997, 1003 (*Hersant*).)

On summary judgment, the District argues there is no viable claim for age discrimination because: (1) Plaintiff submitted factually devoid discovery responses; and (2) the District had legitimate non-discriminatory reasons for not retaining Plaintiff as a school psychologist for the next academic year.

### Factually Devoid Discovery Responses

A moving party on a motion for summary judgment (or summary adjudication) may rely on factually devoid discovery responses to shift the burden of proof. (*Lopez v. Super. Ct.* (1996) 45 Cal.App.4th 705, 713.) Once the burden shifts as a result of the factually devoid discovery responses, the opposing party must set forth specific facts which prove the existence of a triable issue of material fact. (*Ibid.*)

For example, in *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573 (*Union Bank*), cited in the moving papers, the defendant supported its motion for summary judgment with the plaintiff's answers to requests for admissions and interrogatories. (*Union Bank, supra*, at pp. 577-578.) The defendant's interrogatories asked plaintiff to state all facts and to identify all witnesses and documents which supported the plaintiff's cause of action for fraud. (*Id.* at p. 578.) The plaintiff replied only that he "believe[d]" the defendant "knowingly and fraudulently" committed certain allegedly deceitful acts. (*Ibid.*)

The Court of Appeal concluded these "factually devoid" discovery responses were enough to meet the defendant's obligation under section 437c, subdivision (o)(2), to show that one or more elements of the cause of action cannot be established. (*Union Bank, supra*, 31 Cal.App.4th at pp. 592-593.) Consequently, the burden shifted to plaintiff to proffer admissible evidence which disclosed the existence of a triable factual issue about whether the defendant committed the alleged fraud. (*Id.* at p. 593.)

Here, the District served Plaintiff with general form interrogatories, employment form interrogatories, special interrogatories, and requests for production of documents. (See District's CSSUF at No. 26.) In response, Plaintiff served objection-only responses to this discovery. (*Ibid.*) Having done so, the District contends Plaintiff has provided factually devoid discovery responses.

When a defendant moves for summary judgment, a "plaintiff's 'factually devoid' discovery responses may be used to shift the burden of production onto the plaintiff when the 'logical inference' is that the plaintiff possesses no facts to support his or her claims." (*Bayramoglu v.*

*Nationstar Mortgage LLC* (2020) 51 Cal.App.5th 726, 733 (*Bayramoglu*); see *Gaggero v. Yura* (2003) 108 Cal.App.4th 884, 892.) But discovery responses asserting only objections, even if those objections are improper or meritless, are not “factually devoid” and thus do not support an inference that Plaintiff lacks evidence supporting her claims. (*Bayramoglu, supra*, at p. 736 [“a defendant cannot contend a plaintiff’s discovery responses are factually devoid for purposes of summary judgment merely because they include only improper objections”]; see *White v. Smule, Inc.* (2022) 75 Cal.App.5th 346, 363 [objection that deposition questions called for a “legal contention” did not satisfy the defendant’s burden to show the plaintiff did not possess and could not reasonably obtain evidence to support his claims]; see also *Bayramoglu, supra*, at pp. 733-734 [plaintiffs’ mistaken objection based on section 2030.230 in response to special interrogatories “did not, in itself, show they lacked the facts necessary to support their claim”].)

To be clear, Plaintiff’s discovery responses and refusal to produce documents may be subject to monetary sanctions for discovery abuse. (See *City of Los Angeles v. PricewaterhouseCoopers, LLP* (2024) 17 Cal.5th 46, 51 [trial court has authority to impose monetary sanctions for pattern of discovery abuse].) However, they are not “factually devoid” responses that support an inference that Plaintiff lacks evidence to support her claims. Instead, all the court may infer was that Plaintiff believed the District’s discovery requests were objectionable and the information and documents requested by the District were protected from discovery. To the extent that the District believed Plaintiff’s objections were improper, the District could have moved to compel further responses under Code of Civil Procedure sections 2030.300, subdivision (a), and 2031.310, subdivision (a). (See *Bayramoglu, supra*, 51 Cal.App.5th at p. 734 [“section 2030.300 describes what [the defendant] could have done: move for an order compelling further response”]; *Saxena v. Goffney* (2008) 159 Cal.App.4th 316, 334 [“[t]he simple failure to answer [a discovery request], or the giving of an evasive answer, requires the propounding party to pursue an order compelling an answer or further answer – otherwise the right to an answer or further answer is waived and an evidence sanction is not available”].) Based on the evidentiary record, the District chose not to pursue that remedy and therefore Plaintiff’s responses do not satisfy the District’s burden on summary judgment. (See *Bayramoglu, supra*, 51 Cal.App.5th at p. 729 [“although [the plaintiffs’] responses may have been improper and warranted a motion to compel further responses, they were not the equivalent of factually devoid discovery responses”].)

### Burden Shifting Analysis in Employment Cases

In reviewing motions for summary judgment/adjudication in employment discrimination cases, California courts employ the burden-shifting formula first articulated by the U. S. Supreme Court in *McDonnell Douglas Corp. v. Green* (1973) 411 U.S. 792 (*McDonnell Douglas*). (See *King v. United Parcel Service* (2007) 152 Cal.App.4th 426, 433, fn.2; see also *Scotch v. Art Institute of California* (2009) 173 Cal.App.4th 986, 1004 (*Scotch*).) Under *McDonnell Douglas*, on a motion for summary judgment brought against such a cause of action the plaintiff bears the burden of establishing a prima facie case of discrimination, and the burden then shifts to the employer to offer a legitimate, nondiscriminatory reason for the adverse employment action. (*Mixon v. Fair Employment and Housing Commission* (1992) 192 Cal.App.3d 1306, 1318.)

“ ‘A defendant employer’s motion for summary judgment slightly modifies the order of these [*McDonnell Douglas*] showings.’ ” (*Scotch, supra*, 173 Cal.App.4th at p. 1005, quoting *Kelly*

*v. Stamps.com, Inc.* (2005) 135 Cal. App. 4th 1088, 1097 (*Kelly*).) To prevail on its motion, the defendant employer is “required to show *either that* (1) plaintiff could not establish one of the [prima facie] elements of the FEHA claim, or (2) there was a legitimate, nondiscriminatory reason for its decision to terminate plaintiff’s employment.” (*Avila v. Continental Airlines, Inc.* (2008) 165 Cal.App.4th 1237, 1247, citing *Kelly, supra*, 135 Cal. App. 4th at pp. 1097-1098, italics added.)

### Legitimate, Non-Discriminatory Reasons

“Legitimate” reasons in this context are reasons that are factually unrelated to prohibited bias, and therefore, if true, would preclude a finding of discrimination. (*Guz, supra*, 24 Cal.4th at p. 358.) This burden, like the prima facie case, has been found not to be onerous. (See *Board of Trustees of Keene State College v. Sweeney* (1978) 439 US 24, 25, fn. 1 [employer’s burden met “if he simply explains what he has done or produce(s) evidence of legitimate nondiscriminatory reasons”].) “Examples of legitimate reasons are a failure to meet performance standards or a loss of confidence in an employee.” (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 861.)

The District argues there is no claim for age discrimination as it had legitimate, non-discriminatory reasons for not retaining Plaintiff as a school psychologist. In particular, the District contends it lawfully exercised its right not to re-elect Plaintiff, a certificated probationary employee, to her third year of employment in accordance with Education Code section 44929.21. Subdivision (b) of that section provides in relevant part:

Every employee of a school district of any type or class having an average daily attendance of 250 or more who, after having been employed by the district for two complete consecutive school years in a position or positions requiring certification qualifications, is reelected for the next succeeding school year to a position requiring certification qualifications shall, at the commencement of the succeeding school year be classified as and become a permanent employee of the district.

The governing board shall notify the employee, on or before March 15 of the employee’s second complete consecutive school year of employment by the district in a position or positions requiring certification qualifications, of the decision to reelect or not reelect the employee for the next succeeding school year to the position. In the event that the governing board does not give notice pursuant to this section on or before March 15, the employee shall be deemed reelected for the next succeeding school year. (Educ. Code, § 44929.21, subd. (b).)

### ***Permanent v. Probationary Employees***

“A certificated employee is classified as permanent (tenured) if, after having been employed for two complete successive school years in a probationary position, he or she is reelected (retained) for the following year. [Citation.] Permanent employees receive the maximum amount of procedural protection. For example, a permanent employee may not be dismissed unless one or more statutorily enumerated grounds are shown and then only after being afforded an opportunity for a due process hearing. [Citation.] (*McIntyre v. Sonoma Valley Unified School Dist.* (2012) 206 Cal.App.4th 170, 175 (*McIntyre*).)

“The classification of ‘probationary’ is the default classification. School districts must classify all teachers as probationary who are not otherwise required by the Education Code to be classified as permanent, temporary, or substitute. [Citations.] Probationary teachers have some limited protections against dismissal. School districts may dismiss a probationary employee during the school year, but only for cause, or for unsatisfactory performance. [Citation.] **However, a school district can terminate a probationary teacher’s employment effective at the end of the teacher’s yearly contract without any showing of cause, without any statement of reasons, and without any right of administrative redress.** [Citations.]” (*McIntyre, supra*, 206 Cal.App.4th at pp. 175-176, emphasis added.)

### ***District’s Evidence***

In support, the District submits a declaration, based on personal knowledge and signed under penalty of perjury, from Megan Duffy (“Ms. Duffy”), the District’s Coordinator of Special Education and Plaintiff’s direct supervisor. Ms. Duffy’s declaration provides the following in pertinent part:

- In my role as Coordinator of Special Education, I was responsible for making the decision to non-reelect Ms. Pruss as a school psychologist for the District during the 2023-2024 academic year. Ms. Pruss was a probationary employee pursuant to California Education Code section 44929.21 at the time. I met with Ms. Pruss via Zoom on February 16, 2024 to advise Ms. Pruss that she was being non-reelected and had the option of resignation. I followed up my meeting with Ms. Pruss with a confirming email to her outlining her options.
- During my February 16, 2024 meeting with Ms. Pruss I did not provide her with any reason for the non-reelection decision as I understand that District had no obligation to do so. However, based upon my observations of Ms. Pruss’ work during her employment, I had concerns regarding Ms. Pruss’ communication approach with parents and co-workers and concluded that Ms. Pruss’ workplace tone and demeanor was not always consistent with the District’s philosophy and approach. This affected workplace relationships and team chemistry. I also was aware that Ms. Pruss had issues with the preparation of timely and accurate psychological assessment reports. These concerns caused me to conclude that Ms. Pruss’ non-reelection was in the District’s best interests. My decision regarding Ms. Pruss’ non-reelection was not related to Ms. Pruss’ age or any workplace complaints by her. In fact, I am not aware of any workplace complaint by Ms. Pruss related to any allegation by Ms. Pruss of workplace harassment, discrimination, or retaliation on any basis (age or otherwise) and I am informed by the District’s human resources department that Ms. Pruss did not make any such complaints at any time during her employment. (See District’s CSSUF at Nos. 9, 17-19, 22-25; Ms. Duffy Decl. at ¶¶ 1-3, Exs. A-B.)

Based on these material facts and Ms. Duffy’s declaration, a trier of fact may conclude that the District did not discriminate against Plaintiff on the basis of her age as it had legitimate, non-discriminatory reasons for not retaining her as a school psychologist. Having done so, the burden now shifts to Plaintiff to provide evidence of pretext.

### Evidence of Pretext

“[T]o avoid summary judgment, an employee claiming discrimination must offer substantial evidence that the employer’s stated nondiscriminatory reason for the adverse action was untrue or pretextual, or evidence the employer acted with a discriminatory animus, or a combination of the two, such that a reasonable trier of fact could conclude the employer engaged in intentional discrimination.” (*Hersant, supra*, 57 Cal.App.4th at pp. 1004-1005.)

“ ‘The [employee] cannot simply show that the employer’s decision was wrong or mistaken, since the factual dispute at issue is whether discriminatory animus motivated the employer, not whether the employer is wise, shrewd, prudent, or competent. [Citations.] Rather, the [employee] must demonstrate such weaknesses, implausibilities, inconsistencies, incoherencies, or contradictions in the employer’s proffered legitimate reasons for its action that a reasonable factfinder could rationally find them “unworthy of credence,” [citation], and hence infer “the employer did not act for the [the asserted] non-discriminatory reasons.” [Citations.]’ [Citations.]” (*Hersant, supra*, 57 Cal.App.4th at p. 1005.)

As the Sixth Appellate District explained:

“[E]vidence that the employer’s claimed reason is *false* – such as that it conflicts with other evidence, or appears to have been contrived after the fact – will tend to suggest that the employer seeks to conceal the real reason for its actions, and this in turn may support an inference that the real reason was unlawful. This does not mean that the fact finder can examine the employer’s stated reasons and impose liability solely because they are found wanting. But it can take account of manifest weaknesses in the cited reasons in considering whether those reasons constituted the real motive for the employer’s actions, or have instead been asserted to mask a more sinister reality.” (*Mamou v. Trendwest Resorts, Inc.* (2008) 165 Cal.App.4th 686, 715.)

### ***Plaintiff’s Evidence***

In opposition, Plaintiff filed a declaration from her counsel with supporting exhibits along with a separate statement of disputed facts and 168 additional material facts.

Plaintiff’s opposition contains additional material facts addressing the respective ages of the school psychologists, their assignments in 2023-2024 and 2024-2025, and their salaries. (See Plaintiff’s Additional Facts at Nos. 14-20, 53.) The court however cannot infer, based on the cited evidence, whether the District discriminated against school psychologists on the basis of their age. Stated another way, there is no evidence demonstrating that younger psychologists were treated differently than older psychologists to sustain a finding of pretext. (See *Hawn v. Executive Jet Mgmt., Inc.* (9th Cir. 2010) 615 F.3d 1151, 1157 [pretext may be shown where similarly situated employees – i.e., those with similar jobs and similar conduct – were treated differently].)

Plaintiff also submits evidence criticizing the legitimate reasons offered by the District for not retaining her for a third year employment. (See Plaintiff’s Disputed Facts at Nos. 6, 17-19; Plaintiff’s Additional Facts at Nos. 1-3, 24, 40-43.) But, as explained above, it is not enough for Plaintiff to show the District’s decision was wrong or mistaken as the factual dispute is

whether discriminatory animus motivated the District. (*Hersant, supra*, 57 Cal.App.4th at p. 1005.) Furthermore, any justifications offered by the District, or specifically by Ms. Duffy, are ultimately immaterial as they are not required to provide any statement of reasons when terminating a probationary employee like Plaintiff. (*McIntyre, supra*, 206 Cal.App.4th at pp. 175-176.) Thus, this argument does not weigh in favor of pretext.

Finally, Plaintiff presents disputed evidence on whether Ms. Duffy had the authority to dismiss her employment. On the one hand, Plaintiff proffers evidence showing Ms. Duffy was the only person involved in the final decision-making. (See Plaintiff's Additional Fact at No. 30.) On the other hand, there is evidence that recommendation for dismissal must be presented to the Board of Trustees on or before March 15 and no Board action was taken in the 2023-2024 school year. (*Id.* at Nos. 72-73.) This latter point would suggest that the District did not follow its own policies and procedures in terminating Plaintiff's employment which may constitute evidence of pretext. (See *Moore v. Regents of University of California* (2016) 248 Cal.App.4th 216, 239 (*Moore*) ["A defendant's failure to follow its own policies or procedures may also provide evidence of pretext."].)

"However, establishing pretext requires specific and substantial evidence." (*Martin v. Trustees of California State University* (2023) 97 Cal.App.5th 149, 168.) Thus, even if the court agrees that Ms. Duffy did not have authority to dismiss Plaintiff, that, standing alone, does not constitute substantial evidence of pretext. And, even though *Moore* identified a failure to follow policies and procedures as evidence of pretext, the appellate court also determined there were *other reasons* to support an inference of disability discrimination to reverse the trial court's ruling on summary judgment. (See *Moore, supra*, 248 Cal.App.4th at p. 240 ["In addition to the evidence that raises questions about Defendant's proffered reasons for terminating Moore's employment, Moore provided evidence of other statements made by Kennedy from which a fact finder could infer that Kennedy was concerned that Moore's health was going to be a problem at work and that she may have had discriminatory reasons for terminating Moore's employment."].) Unlike *Moore*, the evidentiary record here does not contain any other reasons to support an inference of age discrimination.<sup>3</sup> Therefore, despite the numerous exhibits presented in opposition, the court finds Plaintiff has not carried her burden in showing the District acted with discriminatory animus toward her on account of her age or that the District's legitimate non-discriminatory reasons were untrue or pretextual.

Accordingly, the court concludes there is no viable claim for age discrimination.

### **Second Cause of Action: Failure to Prevent Discrimination in Violation of FEHA**

A claim for "Failure to Prevent Discrimination in Violation of FEHA" necessarily depends upon establishing that discrimination occurred in the first place. Under the FEHA, an employer has an obligation to "take all reasonable steps necessary to prevent discrimination and harassment from occurring." (See Govt. Code, § 12940, subd. (k).) A prerequisite to a

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<sup>3</sup> Plaintiff also directs the court to evidence suggesting that Ms. Duffy "manipulated" the script prepared by the District that she read from when she had her meeting with Plaintiff and declined to retain her. (See Plaintiff's Additional Facts at No. 64.) But, it is not clear from the record how this manipulated script supports any inference of age discrimination to assist Plaintiff in opposing the motion.

finding of liability for the failure to take all reasonable steps, however, is finding that the plaintiff actually suffered unlawful discrimination, harassment, or retaliation. (See *Trujillo v. North County Transit Dist.* (1998) 63 Cal.App.4th 280, 282-283; see also *Scotch, supra*, 173 Cal.App.4th at p. 1021.)

In the second cause of action, Plaintiff alleges the District had knowledge and/or reasonable notice of the discrimination that took place against her and failed to prevent said discrimination. (Complaint at ¶ 25.) As discussed above, the court determined there was no viable claim for age discrimination. Thus, as the age discrimination claim fails, so too does the cause of action for failure to prevent discrimination.

### **Plaintiff's Request to Continue the Motion for Summary Judgment**

In the alternative, Plaintiff requests a continuance of the summary judgment hearing to conduct further discovery in accordance with Code of Civil Procedure section 437c, subdivision (h) which states:

“If it appears from the affidavits submitted in opposition to a motion for summary judgment or summary adjudication, or both, that facts essential to justify opposition may exist but cannot, for reasons stated, be presented, the court shall deny the motion, order a continuance to permit affidavits to be obtained or discovery to be had, or make any other order as may be just. The application to continue the motion to obtain necessary discovery may also be made by ex parte motion at any time on or before the date the opposition response to the motion is due.” (Code Civ. Proc., § 437c, subd. (h).)

“When a party makes a good faith showing by affidavit demonstrating that a continuance is necessary to obtain essential facts to oppose a motion for summary judgment, the trial court must grant the continuance request. [Citation.] ‘Continuance of a summary judgment hearing is not mandatory, however, when no affidavit is submitted or when the submitted affidavit fails to make the necessary showing under [Code of Civil Procedure] section 437c, subdivision (h). [Citations.]’ ” (*Park v. First American Title Co.* (2011) 201 Cal.App.4th 1418, 1428.)

“An opposing party’s declaration in support of a motion to continue the summary judgment hearing should show the following: (1) ‘Facts establishing a likelihood that controverting evidence may exist and why the information sought is essential to opposing the motion’; (2) ‘The specific reasons why such evidence cannot be presented at the present time’; (3) ‘An estimate of the time necessary to obtain such evidence’; and (4) ‘The specific steps or procedures the opposing party intends to utilize to obtain such evidence.’ [Citation.]” (*Johnson v. Alameda County Medical Center* (2012) 205 Cal.App.4th 521, 532 (*Johnson*).)

“ ‘Code of Civil Procedure section 437c, subdivision (h) requires more than a simple recital that “facts essential to justify opposition may exist.” ’ [Citation.] ‘The statute cannot be employed as a device to get an automatic continuance by every unprepared party who simply files a declaration stating that unspecified essential facts may exist. The party seeking the continuance must justify the need, by detailing both the particular essential facts that may exist and the specific reasons why they cannot then be presented.’ [Citation.]” (*Johnson, supra*, 205 Cal.App.4th at p. 532.)

“Where a plaintiff cannot make the showing required under section 437c, subdivision (h), a plaintiff may seek a continuance under the ordinary discretionary standard applied to requests for a continuance. [Citation.] This requires a showing of good cause. [Citation.] ‘[I]n deciding whether to continue a summary judgment to permit additional discovery courts consider various factors, including (1) how long the case has been pending; (2) how long the requesting party had to oppose the motion; (3) whether the continuance motion could have been made earlier; (4) the proximity of the trial date or the 30-day discovery cutoff before trial; (5) any prior continuances for the same reason; and (6) the question whether the evidence sought is truly essential to the motion.’ [Citation.]” (*Hamilton v. Orange County Sheriff’s Dept.* (2017) 8 Cal.App.5th 759, 765.)

Here, Plaintiff submits a declaration from her counsel addressing certain outstanding discovery yet to be produced in the case. As the court sees it, the critical issue on this motion is Plaintiff’s failure to provide substantial and responsive evidence of pretext to satisfy her burden on the age discrimination claim. After reviewing the declaration, the court is not persuaded that any of these items will change the outcome as to that issue. Plaintiff’s counsel notes that it served the District with supplemental interrogatories and requests for production on August 18, 2026. In reply, the District confirmed its intent to serve responses to these supplemental requests by the deadline on September 21, 2026. Plaintiff however fails to articulate how these supplemental discovery responses will impact her opposition to the motion or raise a triable issue of fact. Nor does Plaintiff suggest to the court an appropriate hearing date for continuing the motion despite the upcoming trial date scheduled for October 19, 2026. Also, any continuance of the motion is complicated by the fact that this department will be dark beginning Monday October 5, 2026 through Friday October 9, 2026. And there is no noticed motion before the court to continue the trial date. Thus, as Plaintiff fails to explain how this outstanding discovery is truly essential to opposing the motion, specifically as to the issue of pretext, the court DENIES the request to continue the hearing.

Accordingly, the motion for summary judgment to the complaint is GRANTED.

### **Disposition**

The District’s motion for summary judgment to the complaint is GRANTED.

Plaintiff’s request to continue the hearing on the motion for summary judgment to conduct further discovery is DENIED.

The court will prepare the order.

## **Calendar Line 6**

**Case Name:** Tiana Sell v. Envision MPS Hon Auto, LLC

**Case No.:** 25CV466706

### **BACKGROUND**

Plaintiff Tiana Sell (“Plaintiff”) was employed by Defendant Envision MPS Hon Auto, LLC (“Defendant”) in November 2022. Plaintiff alleges she was “the only woman working in male-dominated sales room.” (Complaint at ¶ 9.) Plaintiff alleges that during her employment, she was subjected to gender-and-disability-based hostility, retaliation, and wrongful termination. (See generally *id.* at ¶¶ 10-25.) Plaintiff was terminated on September 23, 2023 for “job abandonment” upon taking sick leave. (*Id.* at ¶¶ 21-23.)

Plaintiff filed suit on May 27, 2025. Plaintiff alleges seven causes of action for: (1) gender discrimination in violation of the Fair Employment and Housing Act (“FEHA”); (2) disability discrimination in violation of FEHA; (3) hostile work environment harassment in violation of FEHA; (4) failure to accommodate in violation of FEHA; (5) retaliation in violation of Labor Code section 1102.5; (6) wrongful termination in violation of public policy; and (7) failure to pay wages owed in violation of Labor Code section 200.

Defendant now moves to compel arbitration of Plaintiff’s claims pursuant to the Employment At-Will and Arbitration Agreement (“the Agreement”). Having considered the Agreement and the circumstances of its execution, the Court will DENY the motion to compel arbitration. Plaintiff’s request for judicial notice of court records filed in *Abello v. Envision WC CDJR Auto, LLC, et al.* Case No. 24CV434333 is GRANTED pursuant to Evidence Code section 452, subdivision (d). The Court OVERRULES the objections to the Declaration of Ryan Morris. “[T]he custodian of a document need not have been present or employed when the document was created or signed to authenticate a document in a company’s files.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 758-759.)

### **LEGAL STANDARD**

The Federal Arbitration Act (“FAA”) applies and the procedural rules for the California Arbitration Act (“CAA”) apply. The Agreement provides: “Both I and the Dealership agree that any claim, dispute, and/or controversy I may have against the Dealership (or its owners, directors, officers, managers, employees, or agents) or the Dealership may have against me, shall be submitted to and determined exclusively by binding arbitration under the Federal Arbitration Act (“FAA”), in conformity with the procedures of the California Arbitration Act (Cal. Code. Civ. Proc. sec. 1280 et seq., including section 1283.05 and all of the Act’s other mandatory and permissive rights to discovery.” (Declaration of Ryan Morris [“Morris Decl.”], Ex. A at ¶ 2.)

The FAA’s term involving commerce is interpreted broadly. The basic coverage provision of the FAA “makes the law applicable to contracts evidencing a transaction ‘involving commerce’ (9 U.S.C. § 2), which language reflects that Congress intended the law’s coverage to extend to the full reach of its commerce clause power.” (*Nieto v. Fresno Beverage Co.* (2019) 33 Cal.App.5th 274, 279 [internal citations omitted].) “Congress Commerce Clause power ‘may be exercised in individual cases without showing any specific effect upon interstate commerce’ if in the aggregate the economic activity in question would represent ‘a general practice . . . subject to federal control.’” (*Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56-57 [quoting *Mandeville Island Farms, Inc. v. American Crystal Sugar Co.* (1948) 334 U.S. 219, 236].)

The Declaration of Ryan Morris provides that Defendant's operations "involve the purchase, sale, and distribution of vehicles across state lines." (Morris Decl. at ¶ 10.) Defendant sources vehicles from manufacturers and suppliers located in different states and handles transactions involving customers from different states. (*Ibid.*) Defendant further uses interstate communication networks to facilitate business. (*Ibid.*) Plaintiff facilitated interstate commerce on behalf of Defendant by selling vehicles that either originated from or were destined for other states. (Morris Decl. at ¶ 11.) These activities meet the broad definition for interstate commerce. In any event, "[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA." (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 289.)

Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 (*Davis*), citations omitted; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Code of Civil Procedure section 1281.2 provides: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement."

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

## ANALYSIS

The Court must first determine whether there is a valid agreement to arbitrate between the parties. "The moving party 'can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature. Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion.' " (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.)

Here, Defendant has attached a copy of the Agreement to its motion; however, the Agreement does not bear Plaintiff's signature. (Morris Decl., Ex. A.) Defendant describes the procedures that would have been undertaken the first day of Plaintiff's employment, which includes signing the Agreement. However, the lack of signature and Plaintiff's assertion that

she does not recall being presented with the Agreement sufficiently challenges its authenticity. The burden of production thus shifts back to Defendant to establish a valid agreement to arbitrate. Defendant maintains the signed Agreement is no longer in its possession due to technical inadvertence. Accordingly, there is no admissible evidence that Plaintiff expressly agreed to arbitrate her claims.

Nevertheless, “it is not the presence or absence of a signature which is dispositive; it is the presence or absence of evidence of an *agreement* to arbitrate which matters.” (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 361, emphasis in original.) Defendant must establish Plaintiff’s assent to the Agreement. “ ‘An essential element of any contract is the consent of the parties, or mutual assent.’ ” (*Serafin v. Balco Properties Ltd, LLC* (2015) 235 Cal.App.4th 165, 173.) “ ‘Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings.’ ” (*Ibid.*) Defendant argues mutual assent can be shown in this instance based on (1) Plaintiff’s implied-in-fact acceptance; and (2) the Agreement’s incorporation by reference in the Compensation Agreements. The Court considers each argument in turn.

#### Implied-in-Fact Acceptance

Defendant argues Plaintiff’s continued employment manifests assent to be bound by the Agreement. “California law in this area is settled: When an employee continues his or her employment *after* notification that an agreement to arbitrate is a condition of continued employment, that employee has impliedly consented to the arbitration agreement.” (*Diaz v. Sohen Enterprises* (2019) 34 Cal.App.5th 126, 130, emphasis added.) Defendant’s cases are inapposite because the plaintiffs in those cases had notice of the agreement to arbitrate in the first place, and thus, their continued employment thereafter manifested as assent to be bound.

For example, in *Craig v. Brown & Root* (2000) 84 Cal.App.4th 416, 422 the court found that there was “substantial evidence (1) that the memorandum and brochure were received by Craig in 1993 and again in 1994; (2) that she continued to work for Brown & Root until 1997; and (3) that she thereby agreed to be bound by the terms of the Dispute Resolution Program, including its provision for binding arbitration.” The plaintiff there received a copy of the memorandum and brochure containing the arbitration provision in the mail. Likewise, in *Davis, supra*, 755 F.3d at p. 1094, the court found “Nordstrom satisfied the minimal requirements under California law for providing employees with reasonable notice of a change to its employee handbook by sending a letter to Davis and other employees informing them of the modification, and not seeking to enforce the arbitration provision during the 30 day notice period.” As explained above, in contrast to these cases, the evidence is conflicting as to whether Plaintiff had notice of the Agreement to begin with. Furthermore, there is no indication Plaintiff received a copy of the Agreement in the mail, through a separate letter, or otherwise.

Unlike *Diaz, supra*, 34 Cal.App.5th at p. 130, even if Plaintiff was presented with the Agreement at onboarding, there is no indication that she was told her continued employment was sufficient for her to be bound by the Agreement. Although the Agreement was offered as a condition of employment, it nevertheless included a signature block for Plaintiff to sign and be bound by its terms. Moreover, the Agreement does not indicate that continued employment serves as acceptance. Rather, the Agreement states, “MY SIGNATURE BELOW ATTESTS TO THE FACT THAT I HAVE READ, UNDERSTAND, AND AGREE TO BE LEGALLY

BOUND TO ALL OF THE ABOVE TERMS.” The Agreement expressly calls for a signature to be bound by its terms and not continued employment. Thus, there was no notification that continued employment would constitute acceptance of the Agreement. This was not clearly communicated by Defendant. In any event, the lack of signature suggests Plaintiff may have never been given notice of the terms of the Agreement to begin with. Plaintiff’s continued employment in this instance cannot serve as assent to be bound to an Agreement she does not recall being presented with. The Court thus, proceeds to consider whether the Compensation Agreements provided such notice by incorporating the Agreement by reference.

#### Incorporation by Reference

Defendant presents two Compensation Agreements that reference the Agreement. The first Compensation Agreement was executed on February 1, 2023 and provides: “Additionally, the terms of this Agreement do not modify or alter both you and the Dealership’s obligation to arbitrate any and all disputes related to your employment, or which may arise out of this Agreement, pursuant to the arbitration agreement between Employee and Dealership. By signing this Agreement, you are agreeing that you have reviewed and understand the arbitration agreement.” (Morris Decl., Ex. B at pp. 6-7.)

The second Compensation Agreement was executed on July 1, 2023 and provides: “I further acknowledge and agree that any disputes regarding this Pay Plan, or any other aspect of my employment relationship will be decided by binding arbitration pursuant to the procedures outlined in the arbitration agreements, I have executed with the Dealership.” (Morris Decl., Ex. C at p. 8.) Plaintiff does not dispute that she signed both Compensation Agreements. (Declaration of Tiana Sell [“Sell Decl.”] at ¶ 4.)

An agreement is properly incorporated by another as follows:

A contract may validly include the provision of a document not physically part of the basic contract . . . ‘It is, of course, the law that the parties may incorporate by reference into their contract the terms of some other document. [Citations.] But each case must turn on its facts. [Citation.] For the terms of another document to be incorporated into the document executed by the parties the reference must be clear and unequivocal, the reference must be called to the attention of the other party and he must consent thereto, and the terms of the incorporated document must be known or easily available to the contracting parties.’” [Citations.] The contract need not recite that it “incorporates” another document, so long as it “guide[s] the reader to the incorporated document.” [Citations.]

(*Shaw v. Regents of University of California* (1997) 58 Cal.App.4th 44, 54.)

Although reference to the Agreement is clear and unequivocal in both Compensation Agreements, Defendant has not established that the terms of the Agreement were known or easily available to Plaintiff. Plaintiff states that she does not recall being presented with or asked to sign a separate arbitration agreement. (Sell Decl. at ¶ 3.) She does not recall seeing or receiving the Agreement during her employment. (*Ibid.*) Furthermore, Plaintiff maintains that when signing the Compensation Agreements, she was never shown a copy of the Agreement referenced in those documents. (Sell Decl. at ¶ 4.) Since the Agreement was not

known or available to Plaintiff, it is not properly incorporated by reference through the Compensation Agreements.

Plaintiff's position is consistent with the litigation entitled *Abello v. Envision WC CDJR Auto, LLC, et al.*, 24CV434333 filed before Santa Clara County Superior Court. In this class action lawsuit, "Class Members" are defined as " 'all current and former misclassified exempt and non-exempt employees who worked for Defendant in California during Class Period [July 27, 2019 through date of preliminary approval] **who did not sign arbitration agreements**]." (Request for Judicial Notice, Ex. A at p. 4, emphasis added.) Plaintiff received a Class Notice addressed to her home address. Plaintiff is one of 470 Class Members who did not sign an arbitration agreement. Thus, Plaintiff's inclusion as a Class Member affirms she did not sign an arbitration agreement. The determination of class members was based on Defendant's own business records. Defendant cannot now assume a contrary position that Plaintiff is bound to arbitrate her claims even if it is represented by different counsel in this proceeding.

Defendant has failed to attach a copy of the Agreement bearing Plaintiff's signature. Defendant cannot show that Plaintiff's assent to the Agreement was implied in fact or that the Agreement was properly incorporated by reference. The evidence is conflicting as to whether Plaintiff had notice of the Agreement to begin with. Thus, Defendant cannot show there is mutual assent to be bound by the Agreement. Given Plaintiff's challenge to the existence of the Agreement, Defendant cannot establish an agreement to arbitrate by a preponderance of the evidence. For these reasons, the court DENIES the motion to compel arbitration. The Court need not consider Defendant's remaining arguments.

## CONCLUSION

The motion to compel arbitration is DENIED.

The Court will prepare the order.

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## Calendar line 9

**Case Name:** Emily Li et al. v. TY Investment, LLC et al.

**Case No.:** 26CV486549

## BACKGROUND

Plaintiffs Emily Li (“Emily”) and her son Christopher Li (“Christopher”) (collectively “Plaintiffs”) are co-owners of their family home located at 1682 Commodore Drive, San Jose 95133. (Complaint at ¶ 11.) Emily is over the age of 65 and was 79 at the time of the alleged transaction. (*Id.* at ¶ 23.) Plaintiffs have sued TY Investment, LLC (“Defendant”) and foreclosure trustee Total Lender Solutions, Inc.

After Emily’s husband died in 2015, Plaintiffs were left with heavy medical debt. (Complaint at ¶¶ 10-12.) They were referred through their church to Defendant for a consumer loan. (*Id.* at ¶¶ 14-15.) However, Defendant prepared the transaction as a business/investment loan. (*Id.* at ¶ 19.) Plaintiffs signed several loan documents in the presence of a notary without disclosures or translation. (*Id.* at ¶ 17, 23.) During the COVID-19 pandemic, Plaintiffs requested accommodation and restructuring of the loan but did not receive any response from Defendant. (*Id.* at ¶ 27.)

The July 10, 2019 Secured Promissory Note valued at \$415,000 at 12.5 percent matured on August 31, 2021.<sup>4</sup> On October 28, 2025, Defendant recorded a Notice of Default claiming roughly \$1.4 million. (Complaint at ¶ 28.) Plaintiffs maintain the Notice of Default is time-barred under Code of Civil Procedure section 337 and materially overstated. (*Ibid.*)

Plaintiff filed suit on February 10, 2026. Plaintiff alleges twelve causes of action for (1) financial elder abuse; (2) fraud; (3) fraudulent suppression of fact; (4) wrongful initiation of foreclosure; (5) breach of the implied covenant of good faith and fair dealing; (6) breach of fiduciary duty; (7) violations of the Truth in Lending Act; (8) predatory lending; (9) unfair competition; (10) rescission and cancellation of instruments; (11) declaratory relief; and (12) injunctive relief.

On April 8, 2026, this Court granted Plaintiffs’ preliminary injunction enjoining foreclosure on 1682 Commodore Drive, San Jose 95133. Defendant now moves to compel arbitration pursuant to the Arbitration Agreements (“Agreements”) executed between the parties in connection with the loan documents. Having considered the Agreements and the circumstances of their execution, the Court will GRANT the motion and stay the action.

## REQUEST FOR JUDICIAL NOTICE

The Court DENIES Plaintiffs’ Request for Judicial Notice of Exhibit A, a printout of a business directory report from Dun & Bradstreet regarding TY Investment. “Simply because information is on the Internet does not mean that it is not reasonably subject to dispute.” (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn.10.) “Although it might be appropriate to take judicial notice of the existence of the Web sites, the same is not

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<sup>4</sup> Plaintiff’s complaint only references a 2019 loan and does not make mention of the 2018 loan referenced in Defendant’s papers. Plaintiff maintains the 2018 loan is a “Zombie” loan that was superseded by the 2019 loan. Because the complaint is limited to the 2019 loan, the Court only considers whether this case should be compelled to arbitration pursuant to the Arbitration Agreements executed in connection with the 2019 loan.

true for their factual content.” (*Searless Minerals Operations, Inc. v. State Bd. Of Equalization* (2008) 160 Cal.App.4th 514, 519 [emphasis in original].) There is no “ ‘official Web site’ provision for judicial notice in California.” (*Jolley v. Chase Home Finance, LLC* (2013) 213 Cal.App.4th 872, 889.)

The Court, however, GRANTS Plaintiffs’ Request for Judicial Notice of Exhibit B, face pages of all pending cases against Defendant. These records are properly judicially noticed under Evidence Code section 452, subdivision (d).

## **OBJECTIONS TO EVIDENCE**

Plaintiffs object to the Declaration of Qi Hu.<sup>5</sup> Objection Nos. 1 and 29 are OVERRULED. “For purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165-166.) Additionally, “the custodian of a document need not have been present or employed when the document was created or signed to authenticate a document in a company’s files.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 758-759.)

Objection Nos. 2-18 and 30-37 are DISREGARDED as immaterial. The Court does not rely on these portions of the Declaration of Qi Hu in reaching its decision on the instant motion to compel arbitration.

## **LEGAL STANDARD**

Defendant maintains the California Arbitration Act (“CAA”) governs the Agreements. Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

## **ANALYSIS**

As an initial matter, there is a valid agreement to arbitrate between the parties. “The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.’ ”

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<sup>5</sup> The Court does not find the redline comparison of the Declaration of Qi Hu relevant to this motion.

(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.) Here, Defendant has attached a copy of the Arbitration Agreements executed by both Plaintiffs. (Declaration of Qi Hu [“Hu Decl.”], Ex. 19.) As noted above, “[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Id.* at pp. 165-166.)

To the extent Plaintiffs argue they did not understand the legal significance of the Agreements when they signed it, “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) The general rule is that “one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with the language.” (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 383.)

Additionally, the scope of the Agreements covers Plaintiffs’ claims. The Agreements provide, “Borrower, Company, and any lender making the Loan (collectively, the “Lender”) agree that any Dispute involving the loan, including but not limited to claims arising from the origination, documentation, disclosure, servicing, collection or any other aspect of the Loan transaction or the coverage or enforceability of this Agreement, shall be resolved exclusively by binding arbitration under the terms of this Agreement.” (Hu Decl., Ex. 19.) “Dispute” is defined to include “[a]ny claimed wrongdoing, such as misrepresentation, negligence, breach of contract, breach of fiduciary duty, unconscionability, fraud in the inducement, rescission, breach of the covenant of good faith and fair dealing, and unfair business practices.” (*Ibid.*) “Dispute” is further defined to include “[a]ny claimed violation of state or federal laws, including but not limited to consumer credit, truth-in-lending, civil rights, equal opportunity, real estate settlement, housing discrimination laws, fair lending acts, licensing, loan regulation and unfair business practices acts.” (*Ibid.*)

Relevant to these enumerated claims, Plaintiff has filed suit for, *inter alia*, fraud, breach of the covenant of good faith and fair dealing, breach of fiduciary duty, violations of the Truth in Lending Act, and rescission. These claims squarely fall within the scope of the Agreements. Plaintiff’s twelfth cause of action for injunctive relief falls outside the scope of arbitration. The Agreements provide that “Dispute” shall not include “[a]ctions for provisional remedies such as a temporary restraining order or preliminary injunction or for a permanent injunction based upon an arbitration award.” Nonetheless, most if not all of Plaintiffs’ claims are covered by the Agreements.

Plaintiffs do not truly dispute that they signed the Agreements or that the scope of the Agreements cover their claims. Instead, they challenge the enforceability of the Agreement by arguing that it is unconscionable.

### **Unconscionability**

The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*)). This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-

129.) The Court thus proceeds to consider whether the Agreements are procedurally and substantively unconscionable.

#### Procedural Unconscionability

The circumstances that the court examines to determine whether there was “oppression” in the signing of an agreement generally include: “ ‘(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.’ ” (*OTO, supra*, 8 Cal.5th at pp. 126-127 [quoting (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348)].)

Defendants are correct that the Agreements are not illegible or in tiny blurry type font, and the jury trial waiver was printed in capitalized font. (Cf. *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold lettering, larger font, or capitalization].) However, the Arbitration Agreements were one of several documents presented to Plaintiffs. In addition, the failure to provide a copy or hyperlink to the arbitration rules supports a finding of procedural unconscionability. (*Trivedi v. Curexo Technology Corp.* (2010) 189 Cal.App.4th 387, 393.)

Plaintiffs argue “[t]he alleged Agreement arose from a pressured, non-negotiated loan transaction involving an elderly borrower with limited English proficiency and declining cognitive capacity.” (Opposition at p. 10:8-10.) To the extent Emily claims she had limited English proficiency, “[c]ases which find procedural unconscionability based on a lack of English skills involve a very low level of such skills.” (*Alvarez v. Health Service Corp.* (2021) 60 Cal.App.5th 572, 581.) Emily maintains Chinese is her primary language “although I am able to communicate in English.” (Declaration of Emily Li at ¶ 6.)

Unlike other cases, Emily has not demonstrated a low level of English skills. (See *Nunez v. Cycad Management LLC* (2022) 77 Cal.App.5th 276, 280-281 [Nunez was “‘a native Spanish speaker with limited *spoken* English skills and an even more limited ability to read and write in English.’ ” (emphasis added)]; *Carmona v. Lincoln Millenium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 80-81 [noting that the plaintiffs’ native language was Spanish and that neither could speak or read English]; *Subcontracting Concepts (CT), LLC v. De Melo* (2019) 34 Cal.App.5th 201, 206 [noting that the respondent’s native language is Portuguese and that “he is not fluent enough in English to fully understand documents written in English”].)

Courts have, however, found oppression where a party is under “enormous pressure to sign the agreement and arbitration provision because her condition was declining, she had limited financial resources[.]” (*Haydon v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1288.) Due to the medical debt incurred by Plaintiffs, they were likewise under enormous financial pressure to obtain a loan. Notaries were separately sent to Christopher’s residence and Emily’s residence. (Complaint at ¶ 20.) While Christopher was a more sophisticated party, Emily was nevertheless elderly and experiencing cognitive decline at the time of the transaction. (*Id.* at ¶ 13.) Accordingly, Emily was at least subjected to a transaction that was oppressive.

The parties were not offered a meaningful opportunity to negotiate and were in financial distress at the time of signing. It also did not appear that Plaintiffs could opt out of signing the Arbitration Agreements. Thus, the Agreements were contracts of adhesion or a “standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” (*Armendariz Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113 (*Armendariz*).) “A finding of a contract of adhesion is essentially a finding of procedural unconscionability.” (*Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846, 853.)

Given the oppressive nature of the transaction and the failure to provide the arbitration rules, the Court concludes that an average degree of procedural unconscionability exists.

#### Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz, supra*, 24 Cal.4th at p. 114.) The court assesses whether the agreement reallocates risks in an objectively unreasonable or unexpected matter. (*Jones v. Wells Fargo Bank* 112 Cal.App.4th 1527, 1539.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such oneness based on ‘business realities.’” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

Plaintiffs argue “[t]he alleged Agreement is substantively unconscionable because it is materially one-sided and restricts Plaintiff’s ability to vindicate their claims while preserving Defendant’s preferred judicial remedies.” (Opposition at p. 11:19-22.) The Agreements provide that a “Dispute” shall not include “[a]ctions by the lender to judicially or non-judicially foreclose on the note and deed of trust (mortgage) for the Loan, to enjoin waste, to collect rents, interpleader actions or actions for a receiver, to recover possession, ejectment or relief from the automatic stay in bankruptcy, or to obtain relief through governmental agencies.” (Hu Decl., Ex. 19.) “Dispute” also does not include “actions for provisional remedies such as a temporary restraining order or preliminary injunction or for a permanent injunction based upon an arbitration award.” (*Ibid.*)

The Court does not find the injunctive relief carve-out to be unilateral. Either party may seek provisional remedies in court. When an injunctive relief carve-out provision applies equally to both parties, that “dictates against a finding of substantive unconscionability” unless it can be shown that the end result is “overly harsh, unduly oppressive, or unreasonably favorable” to the other party. (*Borgarding v. JPMorgan Chase Bank* (C.D. Cal. Oct. 31, 2016) CV 16-2485 FMO (RAOx) 2016 U.S. Dist. LEXIS 191612 at \*22.) Plaintiffs have not demonstrated that the end result is overly harsh, unduly oppressive, or unreasonably favorable to Defendant. In fact, Plaintiffs themselves have sought injunctive relief in court and have prevailed. Thus, the injunctive relief carve-out is mutual.

To the extent Plaintiffs argue the Arbitration Agreements may not restrict remedies that a statute makes available, there is no indication under the Agreements that they restrict the recovery of attorneys fees under the Elder Abuse and Dependent Adult Civil Protection Act. Rather, the Agreements preserve these remedies by stating “[e]ach party shall bear their own

attorneys fees, **unless a specific claims statute applies.**” (Hu Decl., Ex. 19, emphasis added.) Likewise, the Agreements do not waive discovery. Rather, the Agreements provide “[r]easonable discovery shall be permitted to a written discovery plan determined by the arbitrator(s).” (*Ibid.*)

Plaintiffs however, take issue with the exclusion that Defendant may pursue foreclosure, enjoin actions to waste, collection of rent, receivership actions, possession, and ejectment in court, while Plaintiffs are required to arbitrate the claims they are more likely to bring. (Opposition at pp. 12:25-13:5.) ”As several courts have held, arbitration provisions are unconscionable if they provide for the arbitration of claims most likely to be brought by the weaker party but exempt from arbitration claims most likely to be filed by the stronger party.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 921.) In *Sanchez*, the court saw nothing unconscionable “about exempting the self-help remedy of repossession from arbitration.” (*Id.* at p. 922.) The court found the remedy of repossession to be an “integral part of the business of selling automobiles on credit and fulfills a ‘legitimate commercial need.’” (*Ibid.*) Much like repossession, foreclosure is integral to the business of selling home loans and fulfills a legitimate commercial need. Moreover, an arbitrator would not be able to enter judgment for possession in an unlawful detainer action, as this is a highly specialized, summary statutory proceeding designed to primarily determine the right to possession of real property. (Code Civ. Proc. § 1174; *Hudec v. Robertson* (1989) 210 Cal.App.3d 1156, 1162.) That remedy is for the court’s determination. Thus, the Agreements appropriately exclude claims that cannot be heard in an arbitral forum and are justified by a legitimate commercial need. The Court does not find the Agreements to be substantively unconscionable in this regard.

Given the average degree of procedural unconscionability and the absence of substantive unconscionability, the Court does not find the Agreements to be unconscionable. Accordingly, the Agreements are enforceable. For these reasons, the Court GRANTS the motion to compel arbitration as to all of Plaintiff’s claims, save for the claim for injunctive relief. This action is STAYED in its entirety pending the outcome of arbitration. (Code Civ. Proc. § 1281.4; 9 U.S.C. § 3.)

## CONCLUSION

The Court GRANTS the motion to compel arbitration. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the order.